



THERE IS A SIGNIFICANT DECREASE IN VOLUMES; BUT MUCH OF IT CAN BE ATTRIBUTED TO A LACK OF SUPPORT FROM BANKING CHANNELS. WE HAVE RELAUNCHED P2P (PEER-TO-PEER) TRADING TO ENSURE CUSTOMERS ARE ABLE TO ACCESS CRYPTOS SEAMLESSLY”

VIKRAM SUBBURAJ
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EXCHANGE

everything is recorded and nothing gets unrecorded. So, to trace or get the record, the government should figure it out or even mandate exchanges to provide the trail of transactions. Taxation is a very harsh, lumpy and blunt kind of measure.”

COMPANIES IN FLIGHT

Another emerging trend after high taxes were levied on crypto trading in India is exchanges shifting their base of operations outside the country. Founders such as Nischal Shetty of WazirX have already shifted their base to Dubai while others are considering the idea.

“The current tax framework

does make it extremely onerous for crypto start-ups. As far as CoinDCX is concerned, we are committed to India and are looking at building a strong crypto ecosystem in the country. To support this, we are setting up an innovation centre, which will help start-ups and developers further blockchain adoption. In addition, we have plans in the pipeline to expand our crypto investor base but such plans are in the early stages of discussion,” says Garegrat.

In case of any untoward event in the future, companies with a significant customer base in India, but operating from foreign shores, could be a disaster in the making since unprotected customers

would be left holding the bag if the exchanges go bust, as it happened in the case of QuadrigaCX. Such a risky outlook necessitates tighter laws around companies that operate in the country. “The right set of regulations can reverse the brain drain and bring the Indian start-ups back that are currently based outside India for tax/lack of policy clarity reasons. We should create incentives to make India the crypto capital of the world. It is not hard to imagine crypto as the future of the internet and India should not lose out,” adds Subburaj.

The RBI has been quite clear about its stance on cryptos, but the government has been ambiguous, and due to the taxes imposed on them, a lot of volume is shifting to international destinations. “Without passing the crypto bill, they decided to tax the trading—that too with no clause for offsetting losses. Only investors/traders with deep pockets are likely to take any meaningful position post this set-up,” says Amit Gupta, Founder and CEO of Fintrekk Capital, a financial research firm.

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THE BILL HANGS FIRE

Designed initially to function as a currency, cryptos are now used more as an asset given their extraordinary returns over the past few years. So, the vexing question yet to be answered is, is crypto a stock, a commodity or a currency? Policy-makers need to address these questions and then some. They need to figure out who should regulate the sector. Whether it should be treated as an asset and be regulated by the Securities and Exchange Board of India (Sebi), or whether it should be treated as a currency and brought under the purview of the RBI, or whether a new entity should be created, given their complex nature?

The Cryptocurrency and Regulation of Official Digital Currency Bill,